SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA

Tentative Ruling

2025CUBC042098: LOULULU LLC, et al. vs 1710 T.O. BLVD. PARTNERS LLC, et al.
07/01/2026 in Department 40
Motion to Strike Portions of Second Amended Complaint by NAI Capital Commercial, Michael Schiff and Troy McCarthy

Loululu v. 1710 T.O. Blvd. Partners, LLC.
2025CUBC042098
June 22, 2026
Judge Borrell, Dept. 40

Motion: 1. Demurrer of Defendants NAI Capital Commercial, Inc., Michael Schiff, and Troy McCarthy to Plaintiffs' Second Amended Complaint and the 4th-6th Causes of Action Therein *(Opposed)*

2. Motion of Defendants NAI Capital Commercial, Inc., Michael Schiff, and Troy McCarthy to Strike Portions of Plaintiffs' Second Amended Complaint *(Opposed)*

Recommendation:

Demurrer:

The NAI Defendants' special demurrer is overruled. (*Khoury v. Maly's of California, Inc.* (1993) 14 Cal.App.4th 612, 616.)

The NAI Defendants' demurrer to the second amended complaint is overruled as to the fourth cause of action for breach of fiduciary duty.

The NAI Defendants' demurrer to the second amended complaint is overruled as to the fifth cause of action for fraud and misrepresentation.

The NAI Defendants' demurrer to the second amended complaint is overruled as to the sixth cause of action for breach of negligent misrepresentation.

Motion to Strike:

The NAI Defendants' motion to strike is granted with respect to treble damages, without leave to amend.

The NAI Defendants' motion to strike is granted as to punitive damages with respect to defendant NAI Capital Commercial, Inc. only, with leave to amend. The second amended complaint does not allege facts sufficient to establish corporate liability for punitive damages under Civil Code section 3294, subdivision (b).

With respect to defendants Michael Schiff and Troy McCarthy, the motion to strike punitive damages is denied as Plaintiffs have pleaded an actual fraud and, as such, have stated a ground on which punitive damages may be recovered.

The remainder of the NAI Defendants’ motion to strike is denied.

Discussion:

I. Legal Standard Demurrer

A defendant must file a demurrer to the complaint within 30 days of service unless extended by stipulation or court order. (Code Civ. Proc., § 430.40. subd. (a).) The parties must meet and confer at least five days before the responsive pleading is due and the demurring party must file a meet-and-confer declaration with the moving papers. (Code Civ. Proc., § 430.41, subd. (a).)

The grounds for a demurrer must appear on the face of the pleading or from judicially noticeable matters. (Code Civ. Proc., § 430.30, subd. (a); *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) Concerning the legal sufficiency of a pleading, the sole issue on demurrer is whether the facts pleaded, if true, state a valid cause of action – i.e., if the complaint pleads facts that would entitle the plaintiff to relief. (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 339.) It is an abuse of discretion to sustain a demurrer without leave to amend if there is a reasonable probability that the defect can be cured by amendment. (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081.)

A general demurrer admits the truth of all factual, material allegations properly pled in the challenged pleading, regardless of possible difficulties of proof. (*Blank*, *supra*, 39 Cal.3d at p. 318.) Thus, no matter how unlikely or improbable, plaintiff’s allegations must be accepted as true for the purpose of ruling on the demurrer. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604.) Nevertheless, this rule does not apply to allegations expressing mere conclusions of law, or allegations contradicted by the exhibits to the complaint or by matters of which judicial notice may be taken. (*Vance v. Villa Park Mobilehome Estates* (1995) 36 Cal.App.4th 698, 709.) A general demurrer does not admit contentions, deductions, or conclusions of fact or law alleged in the complaint; facts impossible in law; or allegations contrary to facts of which a court may take judicial notice. (*Blank*, *supra*, 39 Cal.3d at p. 318.)

“[W]e give the complaint a reasonable interpretation, reading it as a whole and its parts in their context.” (*Zelig v. County of Los Angeles* (2002) 27 Cal.4th 1112, 1126.) “The rules of pleading [generally] require…only general allegations of ultimate fact. [Citations.] The plaintiff need not plead evidentiary facts supporting the allegation of ultimate fact. [Citation.] A pleading is adequate so long as it apprises the defendant of the factual basis for the plaintiff’s claim.” (*McKell v. Washington Mutual, Inc.* (2006) 142 Cal.App.4th 1457, 1469-1470.)

A demurrer on grounds of uncertainty lies when the pleading is uncertain, ambiguous, or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) Demurrers on grounds of uncertainty are disfavored. They are strictly construed. Even if a complaint is in some respects uncertain, it should be overruled because ambiguities can be clarified through discovery. (*Chen v. Berenjian* (2019) 33 Cal.App.5th 811, 822.) “A demurrer for uncertainty should be overruled when the facts as to which the complaint is uncertain are presumptively within the defendant's knowledge.” (*Ibid.*)

> If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer. “[W]e are not limited to plaintiffs’ theory of recovery in testing the sufficiency

> of their complaint against a demurrer, but instead must determine if the *factual* allegations of the complaint are adequate to state a cause of action under any legal theory. The courts of this state have ... long since departed from holding a plaintiff strictly to the 'form of action' he has pleaded and instead have adopted the more flexible approach of examining the facts alleged to determine if a demurrer should be sustained." (*Barquis v. Merchants Collection Assn.* (1972) 7 Cal.3d 94, 103, 101 Cal.Rptr. 745, 496 P.2d 817, original italics; *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 339, 60 Cal.Rptr.2d 539.)

(*Quelimane Co. v. Stewart Title Guar. Co.* (1998) 19 Cal. 4th 26, 38–39.)

II. <u>Application</u>

Defendants NAI Capital Commercial, Inc., a California Corporation ("NAI"), Michael Schiff ("Schiff"), and Troy McCarthy ("McCarthy") (collectively the "NAI Defendants") demur to the Second Amended Complaint ("SAC") filed by Plaintiffs. This lawsuit involves Plaintiffs' commercial lease with defendant 1710 T.O. Blvd. Partners ("Owners") for plaintiff Loululu's Italian restaurant. The SAC alleges that the NAI Defendants were the brokers for the lease, were dual agents for both Plaintiffs and Owners, and that they breached their fiduciary duties to Plaintiffs[1] and made/adopted/repeated fraudulent and/or negligent misrepresentations which were relied on by Plaintiffs.

This is the second demurrer by these defendants and raises many of the same arguments that were previously addressed by the Court in sustaining the demurrer to the First Amended Complaint ("FAC").

Initially, it should be noted that Defendants' demurrer is somewhat of a challenge to address. The order sustaining the demurrer to the FAC as to the causes of action for (i) fraudulent misrepresentation and (ii) negligent misrepresentation granted leave to amend "limited to facts establishing a delayed accrual of the cause(s) of action." (3/6/26 Minute Order pg. 4.) The instant

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[1] The Court's minute order for the demurrer to the FAC provides a summary of the allegations of such breaches that are also in the SAC. "They contend that these defendants breached their fiduciary duties to Plaintiffs by (1) failing to disclose their "long-term" business and personal relationship with the owner; (2) not investigating the experience of other defendants relating to construction of mixed-use property developments and the veracity of statements made by those defendants; (3) not investigating the zoning requirements applicable to the property before "affirming" representations by or on behalf of the owner; (4) not investigating the sufficiency of the parking spaces before representing to Plaintiffs that the parking was sufficient; (5) not investigating whether the space was "restaurant ready" before representing to Plaintiffs that it was; (6) failing to investigate Plaintiffs' "list" of construction concerns before informing Plaintiffs their concerns were "unsubstantiated"; and (7) failing to be sure that NET charges had been limited to one year and not simply accepting the representation of the owner. (FAC, ¶¶ 69-75.)" (3/6/27 Minute Order.)

demurrer, however, attempts to raise issues that are unrelated to delayed accrual. It seems that many of Defendants' arguments go towards their defenses and legal arguments raised in the previous demurrer that are not related to the discrete issue of delayed accrual. As leave to amend was only as to the issue of delayed accrual, this analysis will be focused on solely on that issue.

1. Fourth Cause of Action for Breach of Fiduciary Duty

NAI Defendants demur on the grounds that the alleged cause of action fails to state facts sufficient to constitute a cause of action and is uncertain.

Notably, the Court overruled Defendants' demurrer to the FAC as to the breach of fiduciary duty claim, which was the fifth cause of action in the FAC.[2] As noted by Plaintiffs "a defendant cannot demur on the same grounds to a previous demurrer that was overruled." (*Cnty. of El Dorado v. Superior Ct.* (2019) 42 Cal. App. 5th 620, 625.)

"If the demurrer is sustained and the complaint is amended, no subsequent demurrer can be brought on any grounds that could have been raised by demurrer to the earlier version of the complaint. [CCP § 430.41(b)] However, the statute is silent as to whether a demurrer can be brought on new and different grounds after the first demurrer is *overruled*." (Rutter Guide, Civil Procedure Before Trial, § 7:34.3; emphasis in original.)

Defendants cite to language in *Berg & Berg Enters., LLC v. Boyle* (2009) 178 Cal. App. 4th 1020, stating that in spite of contrary authority, the court had "previously concluded that a party is within its rights to successively demur to a cause of action in an amended pleading notwithstanding a prior unsuccessful demurrer to that same cause of action." (*Berg & Berg Enters., LLC v. Boyle* (2009) 178 Cal. App. 4th 1020, 1036.) In that case, the court found that a

[2] "Some of Plaintiffs' seven theories for a breach of fiduciary duties are alleged in the sixth cause of action for fraud. To the extent that a breach of fiduciary duties arises from fraud or constructive fraud, the applicable statute of limitations is three years. (William L. Lyon & Associates, Inc. v. Superior Court (2012) 204 Cal.App.4th 1294, 1312.) In all other instances, the statute of limitations for breach of fiduciary duty is four years. (Ibid.) The face of the FAC does not establish that the non-fraudulent conduct occurred more than four years before the complaint was filed. Because some of Plaintiffs' theories of liability are not shown on the face of the FAC to be time-barred, the demurrer to the fifth cause of action is overruled. (*See New Livable California v. Association of Bay Area Governments* (2020) 59 Cal.App.5th 709, 714.)" (3/6/26 Minute Order pg. 3.)

demurrer was appropriate where no prior demurrer had been overruled. The court noted the finding in *Bennett v. Suncloud* (1997) 56 Cal.App.4th 91,that "where a prior demurrer was sustained as to some causes of action but overruled as to others, a defendant may not demur again on the same grounds to those portions of an amended pleading as to which the prior demurrer was *overruled.*" (*Berg & Berg Enters., LLC v. Boyle* (2009) 178 Cal. App. 4th 1020, 1035.)

Here, the cause of action for the fourth cause of action does add one additional sentence not contained in the FAC (see discussion in motion to strike), which seems improper as leave to amend as to this cause of action was not granted by the Court. However, the additional language is in regards to the delayed discovery and, as such, does not support any new arguments as the Court has already ruled on this cause of action. There does not seem to be any reason for the Court to revisit its previous ruling.

2. <u>Fifth Cause of Action for Fraud and Misrepresentation</u>

The fifth cause of action is for fraud and misrepresentation and is against defendants Broker, McCarthy and Schiff. The Court's ruling on this cause of action in the FAC found that the NAI Defendant's argument that Plaintiffs' fraud cause of action is barred by contract was without merit and that Plaintiffs had alleged the elements of fraud with particularity. (3/6/26 Minute Order pg. 2.)

With respect to the statue of limitations arguments, the Court stated:

> Defendants assert that Plaintiffs' fraud cause of action is barred by the one-year statute of limitation specified by the lease and, if not, then by the three-year limitations period for fraud. The first contention is without merit because Plaintiffs' fraud claim is not based on the lease, and therefore the shortened limitations period imposed by the lease is inapplicable. As for the statutory three-year limitations period, the face of the complaint establishes that the misrepresentations occurred no later than when the lease was made on May 15, 2021. The complaint was filed April 16, 2025, more than three years later. Thus, absent delayed accrual from application of the "delayed discovery" rule, the fraud cause of action is barred. Plaintiffs have the burden of pleading facts establishing a delayed accrual date. (*Fox v. Ethicon Endo Surgery, Inc*. (2005) 35 Cal.4th 797, 806.) Plaintiffs have not pleaded facts establishing the date of discovery or the reasons for the delayed discovery. Therefore, the demurrer on the statute of limitations ground is sustained. Leave to amend is granted.

(3/6/26 Minute Order pg. 2-3.) Accordingly, the issue before the Court in the current demurrer is whether the SAC properly pleads facts sufficient to establish a delayed discovery sufficient to toll the statute of limitations.

a. Delayed Accrual Legal Standard

"Generally speaking, a cause of action accrues at the time when the cause of action is complete with all of its elements." (*Fox v. Ethicon Endo-Surgery, Inc*. (2005) 35 Cal.4th 797, 806 [internal quotation marks omitted].) "An important exception to the general rule of accrual is the 'discovery rule,' which postpones accrual of a cause of action until the plaintiff discovers, or has reason to discover, the cause of action." (*Id.* at p. 807.) "A plaintiff has reason to discover a cause of action when he or she has reason at least to suspect a factual basis for its elements." (*Id.* [boldface added].) "In order to rely on the discovery rule for delayed accrual of a cause of action, [a] plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence." (*Id.* at p. 808.) Conclusory allegations regarding delayed discovery will not withstand demurrer. A plaintiff must show diligence. (*Id*.) "Simply put, in order to employ the discovery rule to delay accrual of a cause of action, a potential plaintiff who suspects that an injury has been wrongfully caused must conduct a reasonable investigation of all potential causes of that injury. If such an investigation would have disclosed a factual basis for a cause of action, the statute of limitations begins to run on that cause of action when the investigation would have brought such information to light. In order to adequately allege facts supporting a theory of delayed discovery, the plaintiff must plead that, despite diligent investigation of the circumstances of the injury, he or she could not have reasonably discovered facts supporting the cause of action within the applicable statute of limitations period." (*Id.* at pp. 808-809.)

The court in *Jolly v. Eli Lilly & Co.* (1988) 44 Cal. 3d 1103, 114, stated that "the limitations period begins when the plaintiff suspects, or should suspect, that she has been wronged."

> Under the discovery rule, the statute of limitations begins to run when the plaintiff suspects or should suspect that her injury was caused by wrongdoing, that someone has done something wrong to her. As we said in *Sanchez* and reiterated in *Gutierrez*, the limitations period begins once the plaintiff "'"has notice or information of circumstances to put a reasonable person *on inquiry* ....'"" (*Gutierrez, supra*, 39 Cal.3d at pp. 896-897, quoting *Sanchez, supra*, 18 Cal.3d at p. 101 (italics added by the *Gutierrez* court).) A plaintiff need not be aware of the specific "facts" necessary to establish the claim; that is a process contemplated by pretrial discovery. Once the plaintiff has a suspicion of wrongdoing, and therefore an incentive to sue, she must decide whether to file suit or sit on her rights. So long as a suspicion exists, it is clear that the plaintiff must go find the facts; she cannot wait for the facts to find her.

(*Jolly v. Eli Lilly & Co.* (1988) 44 Cal. 3d 1103, 1110–11.)

b. Application

As with the FAC, the SAC alleges that the NAI Defendants committed fraud by falsely representing that there were sufficient parking spaces (SAC ¶ 79), that the commercial space was "restaurant ready" (SAC ¶ 80), and that the NET charges were only for a year (SAC ¶ 81). The SAC further alleges that Defendants did not disclose their long-term business and personal relationship with defendants Collett and Mellman (SAC ¶ 82.).

The complaint was filed April 16, 2025, and the SAC includes allegations that Plaintiffs did not discover the facts constituting the NAI Defendants' fraud until 2023 and 2024. The SAC provides dates for discovery of specific allegations as follows:

(i) 2022-2023: Defects and deficiencies in the hood exhaust duct, electrical infrastructure, and related construction components not discovered until buildout of the leased space for outdoor dining. Alleges not discoverable earlier because they were concealed within the structure of the building. (SAC ¶¶ 37-38, 80.)

(ii) February 2024: Discovered sufficiency of parking spaces was false when informed by the City of Thousand Oaks that the parking spaces were insufficient. Alleges Plaintiffs could not have discovered earlier because Defendants repeatedly assured Plaintiffs that necessary parking spaces had been reserved or would be made available for Plaintiffs. (SAC ¶¶ 35, 36.)

(iii) March 2024: Discovery of long standing professional and personal relationship between NAI Defendants and Owner via email from defendant Mellman. (SAC ¶¶ 39-40, 82.)

(iv) Net Charges: Discovered 18 months into the lease (November 2022) when Plaintiffs continued to receive demands for NET charge payments. (SAC ¶ 81.)

The SAC alleges that these facts were not reasonably discoverable earlier because “they involved matters within the exclusive knowledge and control of Defendants, including concealed construction defects, undisclosed relationships, and regulatory compliance issues. Plaintiffs reasonably relied on Defendants’ representations and had no independent means to verify their accuracy prior to discovery Plaintiffs exercised reasonable diligence at all times. Prior to discovery, Plaintiffs had no reason to suspect wrongdoing because Defendants repeatedly reassured Plaintiffs that the Premises was suitable for restaurant use, that sufficient parking existed, and that all material facts had been disclosed. Plaintiffs acted promptly upon discovering the true facts.” (SAC ¶ 77.)

Defendants argue that Plaintiffs had a duty to investigate and that the SAC fails to allege reasonable diligence. The Court may find that Plaintiffs have adequately alleged the time and manner of discovery and the inability to have made earlier discovery. Plaintiffs have alleged that, with respect to the parking spots and the prior relationship between the parties, that Defendants actively concealed these facts. With respect to the alleged construction defects, Plaintiffs have alleged that the defects were not discoverable because they were concealed in the structure of the building. With respect to the NET charges, Plaintiffs have alleged that they did not discover the ongoing charges until they continued to be charged for something they thought would have ended. The SAC does not contain any allegations that support a finding that Plaintiffs had reason to suspect injury and failed to reasonably investigate.

The NAI Defendants also argue that Plaintiffs had a duty to investigate based on statutory dual agency disclosures and cite to *Assilzadeh v. California Fed. Bank* (2000) 82 Cal. App. 4th 399, 416. However, here, where fraud is alleged, the nature and scope of the duty to investigate and whether it provides a defense seem to be issues of fact not addressed at the pleading stage.

Accordingly, the court tentative is that the SAC properly pleads delayed discover sufficient to establish the relevant three year statute of limitations and to overrule the demurrer.

3. <u>Sixth Cause of Action for Negligent Misrepresentation</u>

The NAI Defendants demur to the sixth cause of action on the grounds that the alleged cause of action fails to state facts sufficient to a cause of action and is uncertain.

In ruling on the cause of action for negligent misrepresentation in the FAC the Court found:

> NAI Defendants characterize these misrepresentations as negligent non-disclosures, which would not support recovery under this cause of action. But the some allegations of the FAC describe affirmative misrepresentations made after an inadequate investigation. These allegations fall squarely within the ambit of a negligent misrepresentation. For the reasons stated above, the arguments concerning waiver and release are without merit.

(3/6/26 Minute Order pg. 3-4.) The Court noted that the "statute of limitations for a claim of negligent misrepresentation against a real estate broker is either two or three years. (*William L. Lyon & Associates, Inc. v. Superior Court* (2012) 204 Cal.App.4th 1294, 1313.) In either instance, Plaintiffs' cause of action is shown by the face of the FAC to be barred" and granted leave to amend "to allege facts establishing a delay accrual" (3/6/26 Minute Order pg. 4.)

As discussed above, the SAC alleges discovery of at least one affirmative misrepresentations made after an inadequate investigation in February 2024 (parking spaces). Accordingly, even under a two year statute of limitations, the claim for negligent misrepresentation may be found to within the statute of limitations.

Accordingly, the tentative is to overrule the demurrer.

<u>MOTION TO STRIKE</u>

I. <u>Legal Standard Motion to Strike</u>

Any party, within the time allowed to respond to a pleading, may serve and file a motion to strike the whole or any part thereof. (Code Civ. Proc., § 435, subd. (b)(1); Cal. Rules Court, rule 3.1322, subd. (b).) The Court may, upon motion, or at any time in its discretion and upon terms it deems proper: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc., § 436, subds. (a) & (b); *Stafford v. Shultz* (1954) 42 Cal.2d 767, 782.) When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend. (*Perlman v. Municipal Court* (1979) 99 Cal.App.3d 568, 575.)

"A motion to strike out, or, as often termed, 'a motion to strike,' is traditionally used to reach certain kinds of defects in a pleading that are not subject to demurrer." (5 Witkin, Cal. Proc. (5th Ed. 2020) Plead § 1008.) "A motion to strike can also be used as a 'scalpel'—to cut out any 'irrelevant, false or improper' matters inserted therein." (Weil & Brown, Cal. Practice Guide, Civ. Proc. before Trial (The Rutter Group 2024) ¶ 7:177.) Nevertheless, "use of the motion to strike should be cautious and sparing" and should not be used as "a procedural 'line item veto' for the civil defendant." (*PH II v. Superior Court* (1995) 33 Cal.App.4th 1680, 1683.)

Pursuant to Code of Civil Procedure section 435.5, subdivision (a), before filing a motion to strike, the objecting party shall meet and confer in telephone or in person with the opposing party for the purpose of determining whether an agreement can be reached to resolve the objections to the pleading. The meet and confer shall be completed at least five (5) days before the responsive pleading is due. (Code Civ. Proc., § 435.5, subd. (a)(2).)

PUNITITVE DAMAGES

To obtain punitive damages against an individual, the plaintiff must, by clear and convincing evidence, prove that the defendant has been guilty of oppression, fraud, or malice. (Civ. Code, § 3294, subd. (a).) "The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages." (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166.) "Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim." (*Ibid.*)

Conclusory allegations that a defendant's conduct is intentional, willful, or fraudulent constitute a "patently insufficient statement of 'oppression, fraud, or malice, express or implied,' within the meaning of section 3294." (*Brosseau v. Jarrett* (1977) 73 Cal.App.3d 864, 872.)

To obtain punitive damages against a corporation, based on the acts of an employee, the plaintiff must prove that the employer had advance knowledge of the employee's unfitness and employed him in conscious disregard of the rights or safety of others; or ratified the wrongful conduct; or was personally guilty of oppression, fraud, or malice. (Civ. Code § 3294, subd. (b).)

Further, "the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation." (*Ibid.*)

"'Malice' means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (Civ. Code, § 3294, subd. (c)(1).) "'Oppression' means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (*Id.*, subd. (c)(2).) "'Fraud' means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (*Id.*, subd. (c)(3).)

"A company ratifies a managing agent's decision when it knows about and accepts the decision." (*Tilkey v. Allstate Ins. Co.* (2020) 56 Cal. App. 5th 521, 554.)

Managing agents are "only those corporate employees who exercise substantial independent authority and judgment in their corporate decisionmaking so that their decisions ultimately determine corporate policy. The scope of a corporate employee's discretion and authority under our test is therefore a question of fact for decision on a case-by-case basis." (*White v. Ultramar, Inc.* (1999) 21 Cal. 4th 563, 566–67.) "It does not depend on the person's level within the corporate hierarchy but instead the amount of discretion permitted in making decisions." (*Tilkey v. Allstate Ins. Co.*, *supra*, 56 Cal. App. 5th at p. 554.) "Moreover, a managing agent does not need to be a corporate policymaker and can formulate operational policies through discretionary decisions." (*Ibid.*) "Managing agents are not limited to those individuals with the ability to set handbook policies." (*Colucci v. T-Mobile USA, Inc.* (2020) 48 Cal. App. 5th 442, 453.)

"The only evidence of wrongful conduct directed toward Scott was her termination for an improper reason. This evidence was insufficient to support a finding of despicable conduct, because such action is not vile, base or contemptible. Nor do we find this evidence shows a conscious and deliberate disregard of plaintiff's interests. "Conscious disregard of rights is conduct by a defendant who is aware of the probable dangerous consequences of such conduct to plaintiff's interests and wilfully and deliberately fails to avoid those consequences." (*Smith v. Brown–Forman Distillers Corp.* (1987) 196 Cal.App.3d 503, 516, 241 Cal.Rptr. 916.)" (*Scott v. Phoenix Schs., Inc.* (2009) 175 Cal. App. 4th 702, 716.)

"Something more than the mere commission of a tort is always required for punitive damages. There must be circumstances of aggravation or outrage, such as spite or 'malice,' or a fraudulent or evil motive on the part of the defendant, Or such a conscious and deliberate disregard of the interests of others that his conduct may be called wilful or wanton." (*Taylor v. Superior Ct.* (1979) 24 Cal. 3d 890, 894–95, [citation omitted].)

"[T]he law does not favor punitive damages and they should be granted with the greatest caution." [Citation.]" (*Dyna-Med, Inc. v. Fair Emp. & Hous. Com*. (1987) 43 Cal. 3d 1379, 1392.)

II. Application

a. Punitive Damages

The NAI Defendants move to strike punitive damages. Defendants first argue that the SAC fails to allege specific facts which support an award for punitive damages.[3] To the extent the Court overrules the demurrer to the fifth cause of action for fraud and misrepresentation, Plaintiffs have stated a ground on which punitive damages may be recovered. "Punitive damages are recoverable in those fraud actions involving intentional, but not negligent, misrepresentations." (*All. Mortg. Co. v. Rothwell* (1995) 10 Cal. 4th 1226, 1241.)

The NAI Defendants further argue that the SAC does not properly allege facts to support a claim against defendant NAI Capital Commercial, Inc. as the SAC does not allege advance knowledge, ratification, or an act by a managing agent. (Civ. Code, § 3294, subd. (b).)[4] Plaintiffs argue that

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[3] As noted in the discussion of the Demurrer, the allegations against defendant Schiff for fraudulent misrepresentation are conclusory and extremely minimal. However, as this was addressed in previous demurrers and the Court found sufficient pleading, it is likely not at issue here.

[4] "An employer shall not be liable for damages pursuant to subdivision (a), based upon acts of an employee of the employer, unless the employer had advance knowledge of the unfitness of the employee and employed him or her

NAI is liable for the misconduct of its employees, citing to *Alhino v. Starr* (Ct. App. 1980) 112 Cal. App. 3d 158.

However, in that case the court found that it was “readily apparent” that all of the employee’s acts “were either approved or subsequently ratified by” the company and that “the ratification supports the award of punitive damages.” (*Alhino v. Starr* (Ct. App. 1980) 112 Cal. App. 3d 158, 174.) Here, the SAC does not allege facts that demonstrate actions by a managing agent (Sciff and McCarthy are only identified as “employees” of NAI, see SAC ¶¶ 16-17) or facts alleging ratification by the corporation.

As such, the tentative is to grant the motion to strike with respect to defendant NAI Capital Commercial, Inc. with leave to amend, as this is already the second amended complaint (and the 3rd of 4 demurrers), as the Court has not ruled on this issue previously, leave to amend is appropriate.

b. Treble Damages

Plaintiffs do not dispute that the seventh cause of action does not apply to the NAI Defendants and state that they do not seek treble damages against the NAI Defendants.

c. Paragraphs 67-74 and 88

The NAI Defendants seek to strike multiple portions of the fourth cause of action for breach of fiduciary duty, essentially on the grounds that the claims are barred by the statute of limitations. This is not an appropriate use application of a motion to strike and the tentative is to deny these requests.

d. Paragraph 67- additional language added after Demurrer

The Court does take note of the last sentence of paragraph 67 of the SAC, which is part of the fourth cause of action for breach of fiduciary duty.[5] This language is not in the fourth cause of action in the FAC. The demurrer to the fourth cause of action in the FAC was overruled and leave to amend was authorized only as to the sixth and seventh cause of action limited to facts

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with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice. With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation.” (Civ. Code § 3294, subd. (b).)

[5] “Plaintiffs did not discover the long-terms business and personal relationships between these Defendants until the disclosure by MELLMAN in 2024.” (SAC ¶ 67.)

establishing a delayed accrual. While the additional language is about delayed accrual, it is not related to the sixth or seventh causes of action.

The Court finds that the addition of the sentence in paragraph 67 was outside the scope of the Court’s order on the demurrer and strikes that sentence on its own motion. (See *Harris v. Wachovia Mortg., FSB* (2010) 185 Cal. App. 4th 1018, 1023, “Following an order sustaining a demurrer or a motion for judgment on the pleadings with leave to amend, the plaintiff may amend his or her complaint only as authorized by the court's order.)